



Sahyadri Farmers Producer Company Limited
Standard Operating Manual - Member Credit
Administration and Settlement

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Introduction:

Sahyadri Farmers Producer Company Limited (SFPCCL) is a farmer-owned organization consisting of 769 individual shareholders and 48 Farmer Producer Companies (FPCs). Together, they represent more than 8,500 direct and indirect members, connecting a broader network of over 30,000 farmers across 45,000 acres of farmland. With continuous expansion, SFPCCL plans to add 15–16 new FPCs, particularly in the grape sector with patented varieties, increasing the shareholder base to nearly 16,000 farmers. The company's value chain spans eight major crops—grapes, tomatoes, citrus, mangoes, bananas, sweetcorn, cashews, and pomegranates—covering activities from nurseries and agronomy services to post-harvest solutions, exports, and domestic distribution.

To strengthen its support for members, SFPCCL provides structured and transparent credit facilities.

As per Section 378ZK of the Companies Act, 2013, a Producer Company may, subject to its articles, provide financial assistance to its members either by:

- Granting credit facilities for a period not exceeding six months; or
- Providing secured loans/advances repayable within a period of three months to seven years.

The company is following this section and is hence eligible for providing financial assistance to its members.

This Standard Operating Procedure (SOP) establishes the step-by-step process for loan disbursement and repayment. It ensures clarity, accountability, and consistency in credit administration while aligning with the Companies Act, 2013, and other relevant regulations.

1.1. Purpose of this Document:

The primary purpose of the preparation of SOP is to ensure that all loan transactions are carried out in a systematic manner, aligned with the company's internal control policies and applicable legal or regulatory requirements

The purpose of this SOP is to:

- Establish a structured loan disbursement process aligned with the Companies Act, 2013, applicable RBI guidelines (if any), and other laws governing Farmer Producer Companies.
- Ensure adherence to the company's Articles of Association (AoA) and internal policies regarding member financing.

- Protect the financial interests of the FPC by ensuring loans are disbursed only after proper due diligence, credit assessment, and verification of the loan's intended purpose.
- Facilitate easy and timely access to credit for members to invest in agriculture, allied activities, or other productive purposes that align with the objectives of the FPC.
- Define clear responsibilities and approval mechanisms for processing, sanctioning, and disbursing loans to members.
- Maintain proper documentation to enable internal and statutory audits without discrepancies.
- Ensure proper monitoring of loan utilization and recovery to maintain healthy cash flow and sustainability of the FPC.

1.2. Intended Users:

This SOP is designed for multiple stakeholders across the organization, with each group having defined responsibilities in the credit administration and repayment process:

Sr. No.	Intended Audience	Key Responsibilities
1.	Credit Assessment Team	Reviews applications, verifies eligibility, conducts due diligence, prepares appraisal notes, and ensures risk evaluation before recommending approval.
2.	Compliance Team	Ensures adherence to statutory and regulatory requirements, manages documentation and stamping, and verifies compliance with internal policies and AoA.
3.	Treasury Team	Creates customer codes in SAP, records loan-related financial entries, processes disbursements, and maintains accurate financial reporting.
4.	Sanction Committee	Reviews appraisal notes, validates compliance checks, and provides final sanction or rejection within the approval authority matrix.

Team composition of Intended Users will be as defined below:

Sr. No.	Team Name	Team Composition
1.	Credit Assessment Team	Credit Manager and Deputy Manager – Finance
2.	Compliance Team	Company Secretary and Team member from Compliance team
3.	Treasury Team	Chief Financial Controller, Senior Manager – Finance
4.	Sanction Committee	Chief Financial Officer and two Executive Directors of the company as decided in the Board Meeting.
5.	Authorised person for Legal Documentation	Any one from either CFO or two designated directors from Sanction Committee

1.3. Process Overview (Scope):

This SOP applies exclusively to loans extended by SFPC to its members. It covers the complete loan lifecycle—from application and appraisal to sanction, disbursement, repayment, and monitoring. This document is organized into 7 sections as below –

Section 1 - End-to-End process

Section 2 - Statutory compliance required by the company

Section 3 - Statutory compliance for borrowers

Section 4 - Annexures and Templates

Section 5 - Process-level controls into a compliance matrix

Section 6 – Exception handling

Section 7 – Change/Revision History

2. Section 1 – End-to-End Process -

2.1 Executive Summary

This section describes the complete cycle of credit administration; from the moment a member initiates a loan request to the final repayment and closure. Each stage has been defined to ensure uniformity, transparency, accountability, and adherence to both statutory requirements and internal company policies.

2.2 Approval Matrix

Decision	Limit	Authority	Notes
Loan sanction	Up to ₹5,00,000 per member	CFO + one Director (Sanction Committee)	Maker-checker mechanism; Credit Manager being the maker and Sanction Committee Member being the checker
Loan sanction	Above ₹5,00,000 per member Or Exceeding the Maximum permissible limit applicable per member	CFO + two Directors (Sanction Committee)	Joint approval required in Credit Sanction Register Reason should be stated in Exception Register along with the joint approval
Disbursement Process Initiation	—	Senior Manager – Finance	Verify documentation and SAP posting before release.
Execution of security documents	—	Company Secretary	Acts under PoA for stamping, handling SH-4 & blank-dated cheques

2.3 Acronyms and Glossary

Acronym/Term	Meaning
FPC	Farmer Producer Company—entity registered under Chapter XXIA of the Companies Act, 2013.
NBFC	Non-banking financial company. A company whose financial assets and income from financial assets exceed 50 % of total assets and gross income must register as an NBFC.
KYC/CKYC	Know-Your-Customer and Central KYC. A risk-based process of identifying and verifying borrowers using official documents and CKYC identifiers.
OVD	Officially valid document under PMLA (e.g., PAN, Aadhaar, voter card).
DPD/PAR	Days past due/Portfolio at risk. The number of days a payment is overdue, used to classify delinquency buckets such as 0–30, 31–60, 61–90 and >90 days.
PoA	Power of Attorney. An instrument authorizing the Company Secretary to execute documents on behalf of the company.
SH-4	Share transfer form prescribed under the Companies (Share Capital and Debentures) Rules, 2014. Used as security for loans, held in blank and returned upon closure.
SAP	Enterprise resource planning system used by SFPCL for accounting and customer master data.
NOC	No-objection certificate provided to a borrower upon full repayment.
TAT	Turnaround Time

2.4 Process Flow

The lending process is structured into six distinct phases, each of which must be executed in sequence. No phase may be bypassed unless a formal, documented approval has been granted by the Chief Financial Officer (CFO).

Stage 1 - Initial Loan Request -

A shareholder or member requiring a loan shall initiate the process with the company. Shareholder or member can be a Farmer or a Farmer producer company. For the purposes of this SOP, such an individual will hereafter be referred to as the 'borrower,' 'shareholder,' 'farmer,' 'loan applicant,' or 'member,' as applicable.

- a) Borrower approaches the company typically through the Credit Assessment Team i.e. Credit Manager by submitting a loan inquiry via either offline or digital channel.
- b) The borrower shall submit a duly filled Loan Application Form in the prescribed format. (Refer Annexure A for sample format of loan application form)

1.1 Loan Application Form –

Borrower submits the loan application form with the Credit Manager; in a specified format, which must be signed by the loan applicant as well as nominee of the loan applicant.

Applications for loans may be submitted either physically at the designated office or electronically through the company's loan application portal.

The Loan Application shall include the following details of the applicant:

- i. Folio number of shares held in the company
- ii. Number of shares held in the company
- iii. Maximum permissible loan limit (calculated as per the limit per share, which will be specified by the company in the application form)
- iv. Required loan amount
- v. Nominee details including Name, Age, Aadhaar Number, PAN, and Gender

Supporting KYC documents should also be submitted by the borrower along with application form. KYC documents include below points for the borrower as well as nominee (Nominee should not be a minor person) –

- i. Copy of Permanent Account number (PAN) card – self attested copy
- ii. Copy of Aadhar Card – self attested copy
- iii. Copy of Share certificates
- iv. Copy of land documents (7/12 extract), crop plan and recent bank statement for past 6 months

The Deputy Manager - Finance shall verify the application for completeness and issue an acknowledgment containing a unique application reference number. This reference number shall be entered in the Loan Request Register maintained by the Credit Manager and will also be communicated to the borrower by recording it on the original copy (O/C) of the application form. Unique application number will start with the LO00000001 and sequentially given for further loans based on the Loan register maintained by Credit Manager in excel.

Incomplete applications shall be returned to the applicant with a list of deficiencies to be rectified before resubmission. Credit Manager can refer Annexure L – Rejection Note for stating the deficiencies and communicating the same to borrower.

Stage 2 - Credit Assessment Process -

Upon receipt of the loan application and initial check as per above step, the Deputy Manager - Finance shall prepare a 'Loan Appraisal Note' outlining the loan details and eligibility. Credit Manager will review the note before sharing the same further. Then, the loan application along with the Loan Appraisal Note shall be submitted to the Sanction Committee for approval or rejection. The turnaround time (TAT) for preparing the Loan Appraisal Note and submitting it to the Sanction Committee is two (2) days from the date of receipt of the application. This TAT is for Credit Assessment team, i.e. for Deputy Manager- Finance and Credit Manager.

If a borrower fails to meet any of the specified conditions mentioned below, the Credit Manager shall reject the loan application. The decision, along with reasons for rejection, will be communicated to the borrower through a 'Rejection Note' sent via e-mail or courier. The borrower may re-apply for the loan in the future after fulfilling the criteria that led to the rejection. (Refer Annexure L - Rejection Note format)

2.1. Eligibility Criteria -

Loan Appraisal Note will state if the farmer is eligible for availing loan from the company. To check the eligibility, following factors must be considered by Credit Manager and should be stated in the Appraisal Note –

1. Applicant must be an active member of the FPC (Refer sub-point 3 for meaning of active/Inactive)
2. He should not be in default for any FPC loan of the company or its subsidiary or associate company
3. He must submit land documents, KYC, recent bank statement and crop plan
4. He must agree to loan sanction terms as per Term Sheet and Loan Agreement
5. Purpose of loan should be related to crop production and agriculture activity only

(Annexure B – sample copy of Loan Appraisal Note for reference)

2.2. Loan Limit applicable to the borrower –

At present, an individual borrower is eligible to avail a loan up to the maximum permissible limit, determined on the basis of the following criteria. The final eligible loan amount shall be restricted to the **lower of the two limits** mentioned below:

1. Shareholding-based limit:

Loan entitlement shall be linked to the equity holding of the borrower in the Company according to the below formula:

$$\text{Loan Limit} = \text{Number of shares held} \times 30\% \text{ of the valuation per share}$$

2. Agricultural Land-based Limit (Scale of Finance):

Loan entitlement shall also be determined on the basis of the Scale of Finance, representing the per-acre cost of cultivation, which is fixed annually by the Company based on prevailing agricultural cost norms and practices according to the below formula:

$$\text{Loan Limit} = (\text{Per-acre cost of cultivation fixed annually by the Company} \times \text{Farmer's land area under cultivation})$$

For the present period, the Scale of Finance has been capped at **₹20,000 per acre**.

2.3. Share Valuation for Loan Limit Determination

1. Basis of Valuation: Share valuation shall be determined using the latest audited financial statements approved at the Annual General Meeting (AGM) of the company. The valuation of shares shall be done using the Net Asset Value Method based on Fair Market Valuation.
2. Frequency of Valuation: The company conducts share valuation on a yearly basis, after completion of the statutory audit and before the financial statements are adopted in the AGM.
3. Applicability for Loan Limit: The valuation determined shall be considered as the base for calculating 10% of the share value to check the loan limit eligibility of borrower.
4. Management can change the percentage of 10% and may increase the same depending on the financial situation of the company. In case of change, the limit should be approved in a Board Meeting. Currently, the result of 10% of valuation is Rs. 200 per share and hence the same is considered in annexures and tables given below.

2.4. Active/Inactive Member status –

Meaning of “Active Member” is defined in the AoA of the company and the same is reproduced below –

I. Individual –

A. An individual member must:

- a) Avail, directly or indirectly, services offered by the Company (e.g., crop production, procurement, purchases, or sale of agricultural inputs) during their period of membership and
- b) Supply primary produce produced by him/her for a continuous period of **4 financial years** (as on the last date of the previous financial year) to any of the following:
 - i. The Company or,
 - ii. Subsidiaries of the Company or,
 - iii. Step-down subsidiaries of the Company or,
 - iv. Through a Producer Institution member (in which such individual is also a member) supplying to the Company or its subsidiaries/step-down subsidiaries.

B. Relaxation for New/Recent Members:

The above condition shall not apply to the members who have supplied their produce to the following for at least 1 year.

- The Company or,
- Subsidiaries of the Company or,
- Step down subsidiaries of the Company or,
- Through a Producer Institution member (in which such individual is a member) supplying to the company or its subsidiaries/ step down subsidiaries.

Or

Any "Producer Member" of the company who has provided the services in the form of employment or in any other capacity for a continuous period of 3 years to any of the following entities:

- i) Company or
- ii) Subsidiaries of the Company or
- iii) Step down subsidiaries of the Company

II. Producer Institution –

A. Eligibility of Producer Company/Institutional Member:

A Producer Company or any other institution must:

- Be a member of the Company
- Avail, directly or indirectly, services offered by the Company (e.g., crop production, procurement, purchases, or sale of agricultural inputs) during the period of membership.
- Supply primary produce for a continuous period of **4 financial years** (as on the last date of the previous financial year) to any of the following:
 - i. The Company
 - ii. Subsidiaries of the Company
 - iii. Step-down subsidiaries of the Company

B. Relaxation for New/Recent Members:

The above condition shall not apply to the member producer companies who have supplied their produce to the following for at least 1 year.

- The Company or,
- Subsidiaries of the Company or,
- Step down subsidiaries of the Company or,

Stage 3 – Credit Scrutiny and Approval Process -

3.1. Credit Scrutiny by Sanction Committee–

Upon receipt of the Loan Application Form and Loan Appraisal Note from the Credit Assessment Team, the Sanction Committee shall undertake a detailed credit scrutiny, which shall include but not be limited to the following checks:

1. **Eligibility Verification** – Confirm that the borrower meets the membership, shareholding, and other eligibility criteria as per Company policy and statutory provisions.
2. **Loan Amount Assessment** – Verify that the loan amount proposed is within permissible limits based on shareholding and applicable company rules.
3. **Purpose of Loan** – Ensure that the loan purpose is in line with the objectives of the Company and approved lending policy.
4. **Compliance Checks** – Confirm adherence to internal policies, Companies Act, Producer Company provisions, and regulatory guidelines.

5. **Past Borrowing History** – Review borrower’s track record for prior loans, repayment discipline, and any defaults.
6. **Risk Assessment** – Consider market, operational, and borrower-specific risks, along with mitigation measures.
7. **Documentation Completeness** – Ensure that all required documents are duly submitted and authenticated.

The Sanction Committee shall record its decision, with reasons for approval or rejection, in the Credit Sanction Register and communicate the same to the Credit Assessment Team (via email) for further processing. (Annexure K – refer the annexure for sample format of Credit Sanction Register)

Here, Sanction committee means CFO + any 1 director, if the loan amount is below 5 lakhs and CFO + 2 directors, if the loan amount is above 5 lakhs or exceeding the applicable limit of borrower (as per Authority Matrix given in point no. 2.2)

3.2. Special cases Approvals –

- If any member of the Sanction Committee, a director, or his relative is the borrower, the loan shall be considered for credit scrutiny and approved only by the remaining Sanction Committee members (excluding the applicant).
- If any member of the Sanction Committee, a director, or his relative is the borrower, the loan shall be granted only with the approval of the Members in a general meeting, in accordance with Section 378ZK of the Companies Act, 2013.

3.3. Rejection by the Sanction Committee –

In case of rejection of loan by Sanction Committee, Credit assessment team will inform the rejection to respective borrower based on the reasoning given by the Sanction Committee. The said borrower will be eligible to re-apply for the loan after fulfilling the rejection criteria, in future.

Stage 4 - Documentation and Stamping -

4.1 Document collection and verification-

Once the approval for the loan is received by Sanction Committee, following documents are collected from borrower and assessed by the Compliance Team -

- i. PAN and Aadhar copy of witness (the witness must be an existing shareholder of Sahyadri Farmer Producer Company Limited – SFPCL)
- ii. Cancelled cheque of the applicant’s bank account – For adding the bank details in SAP to transfer the loan amount
- iii. One blank-dated cheque provided as security

Cancelled Cheque - A Cancelled Cheque is collected to verify account details (number, IFSC, branch) for disbursement.

Blank-dated Cheque - The lender shall hold the blank-dated cheque as security against the loan. In the event of default by the borrower in meeting repayment obligations, the lender shall have the right to insert the date and present the cheque for the recovery of the outstanding amount.

4.2 Documents preparation by Compliance Team-

Team member from Compliance Team will prepare the below given documents to execute the loan transaction. The complete set of all the documents will be submitted to the Sanction Committee again for their approval once all the documents are prepared.

- Power of Attorney (refer point 4.3 below)
- Declaration/Tri-party agreement about loan repayment from Sahyadri Farms Post Harvest Care Limited on behalf of borrower (signed by loan applicant i.e. borrower and nominee) (refer point 4.4 below)
- Share Transfer Form (SH4) (signed by loan applicant and witness), if applicable, i.e. if the shares are not in D-MAT form. (refer point 4.5 below)
- In case if the shares are in D-MAT form, shares are pledged online through CDSL. (The process for pledge of shares through CDSL is given below) If any future shares are issued to the borrower, the same shall stand pledged to the company. (refer points 4.6 to 4.8 below)
- Term sheet (signed by loan applicant and nominee) (refer point 4.9 below)
- Loan Agreement (signed by loan applicant and witness) (refer point 4.10 below)
- Bank verification Letter, in case of mismatch of signature (refer point 4.11 below)
- Checklist (Index document covering list of all the above documents) (refer point 4.12 below)

4.3 Power of Attorney (PoA) –

As part of the loan documentation process, the Compliance Team prepares a Power of Attorney (PoA) in Favor of the Company Secretary. This legal document authorizes the Company Secretary to initiate the sale of shares held in the company, in the event of a loan default. It must be duly signed by the farmer as well as nominee. It should be executed on a stamp paper of rupees five hundred and duly notarised (Annexure C – Sample copy of PoA is attached for reference)

4.4 Declaration/Tri Party Agreement about loan repayment –

The current procedure of the company relating to loan repayment is based on the transactions done by the borrower, directly or indirectly, with any subsidiary company.

The brief process of the loan repayment shall include the following steps:

1. The borrower member of the company shall sell his produce to any of the subsidiary company against which subsidiary company shall pay him the amount as per their terms.
2. While making the said payment to the borrower member towards his produce, subsidiary company shall deduct an amount towards repayment of the loan including principal, interest or any other dues related to the loan taken by the borrower member from SFPCCL.
3. Subsidiary company shall pay the amount deducted from the member to SFPCCL who shall adjust the amount towards settlement of the outstanding loan obligation.
4. Borrower will enter into a triparty agreement with the company and its respective subsidiary company, with whom borrower is engaged into business transactions.
5. This tri-party agreement will confirm the transfer of amount received from borrower; against loan repayment to the holding company, i.e. SFPCCL.

(Annexure D – refer sample format for tri-party agreement/declaration)

4.5 Collection of Share Transfer Form –

As an additional security measure, the Share Transfer Form (Form SH-4) is prepared and executed. The form must be duly signed by the shareholder (farmer/FPC'S) and a valid witness. This is required in case of physical holding of shares. If the shares are in D-mat form, then online procedure for sale of shares will be done by the company, which is explained below in the SOP.

4.6 Pledge of shares –

If the shares are in D-mat form, online procedure for pledging of shares should be executed as a security. The step-by-step process for pledging of shares is as below –

- The pledgor and the pledgee must have Beneficiary Owner (BO) accounts with CDSL. These accounts can be with the same Depository Participant (DP) or with different DPs.
- Pledgor BO will ensure that securities he/she intends to pledge are in approved list of Pledgee.

- The pledgor BO must fill up the Pledge Request Form (PRF) in duplicate and submit the same to its DP.
- On receipt of the PRF from the pledgor, the pledgor's DP will set up a pledge request in the depository system and a unique Pledge Sequence No. (PSN) will be generated.
- The pledge request is available to pledgee's DP through Depository system. The pledgee will have to submit instructions to its DP for acceptance or rejection of pledge request by filling up the pledge request form accordingly. If pledgee has given standing instructions to
- accept the pledges created in its favour to its DP, then pledgee need not submit an instruction to accept the pledge to its DP separately.
- The pledge gets created on acceptance of pledge request by the pledgee DP.
- The loan agreement and disbursement of loan is outside the Depository system. The pledgee is required to inform only the agreement no. in pledge request form

4.7 Pledge invoked if the loan is not repaid -

- The pledgee may instruct the DP to invoke the pledge by submitting 'Invocation Request Form' (IRF). On execution of this instruction, the securities are moved from Pledgor's account to the pledgee's account. Invocation does not require any confirmation from the pledgor. Pledgor is informed of the movement of securities by his DP.

4.8 Unpledged in the depository system after the loan is repaid -

- The pledgor has to fill up the Unpledged Request Form (URF) in duplicate and submit the same to its DP.
- On receipt of the URF, the pledgor's DP set up an unpledged request in the depository system using the PSN generated at the time of creating the pledge. An unpledged request can be for part or entire quantity of pledged securities.
- The pledgee's DP has the facility to access the request through Depository system. Based on copy of URF submitted by the pledgee, the pledgee's DP either accepts or rejects the unpledged request.
- The securities can also be unpledged by the Pledgee giving duly filled URF to his DP instructing to unpledge the securities. This facility is called "Auto Unpledged" where no instruction is required to be given by the Pledgor

4.9 Preparation of Term Sheet –

The Term Sheet shall be prepared by the Team member – Compliance Team, which shall include the following details about the loan application-

- i. Details of borrower
- ii. Details of nominee
- iii. Details of share held by the borrower in company
- iv. loan facility provided for long-term or short-term
- v. loan amount
- vi. purpose of loan
- vii. rate of interest
- viii. Tenure of interest
- ix. Repayment date
- x. Penalty Interest
- xi. Other Charges/Fees
- xii. Security
- xiii. Dispute Resolution

(Annexure E – sample copy of Term sheet is attached for reference)

4.10 Preparation of Loan Agreement –

Following the execution of the Term Sheet, a formal Loan Agreement is drafted by the Team member – Compliance Team. This legally binding document outlines all terms and conditions governing the loan. It should be executed on a stamp paper of rupees five hundred and duly notarised (Annexure F – Sample copy of Loan Agreement is attached for reference)

4.11 Bank Verification Letter –

Before proceeding with loan disbursement, the Credit Assessment Team verifies whether the signature of the borrower (farmer/FPC'S) is consistent across all submitted documents, including the PAN card, cheque, and other KYC documents.

If signature does not match –

Option 1 - A Bank Verification Letter, duly signed and stamped by the concerned bank, is obtained. This letter confirms that the signature on the cheque belongs to the account holder and is valid for transaction purposes. (Annexure G – sample format of letter is attached for reference)

Option 2 - The borrower is required to provide a declaration on non-judicial stamp paper, affirming that the signature used is belong to loan applicant.

4.12 Checklist –

Checklist is the document which covers the list of all above documents as an index (Annexure H – sample copy of checklist is attached for reference)

4.13 Final Approvals -

Once the complete set of all the above documents is ready along with the checklist, Team member - Compliance Team shares the file to CS for his review and approval. After approval from CS, the file is shared with the Credit Assessment team (i.e. Credit Manager) for their approval who then shares the file with Sanction Committee (CFO and directors) for final approval of the loan and for further loan disbursement.

Sanction Committee members (any 1 of the director) will sign the checklist after due verification based on the authority matrix decided for the approval.

After approval from Sanction Committee, the file comes to the Treasury Team for disbursement. Senior Manager - Finance signs on the checklist once he does the actual disbursement of the loan.

- The signature of the Company Secretary on the checklist signifies that all documents required for loan disbursement have been duly verified and attached.
- The signature of the Credit Manager, signifies that the loan disbursement limits have been duly reviewed and confirmed.
- The signature of the Sanction Committee members, signifies final approval for loan disbursement depending on the authority matrix.
- The final signature of the Senior Manager - Finance, signifies the completion of the loan has been disbursed to the loan applicant's account.
- In addition to above signature on checklist, term sheet should also be signed by CFO if loan amount is below 5 lakhs and the same should be signed by CFO and 2 directors, if the loan amount is exceeding 5 lakhs.

Stage 5 - Loan Disbursement -

5.1 Creation of Customer Code/Vendor Code in SAP -

- I. In the SAP system, a unique Customer ID is generated for each farmer at the time of their first loan application
 - If the farmer is applying for a loan for the first time, a new Customer ID is created in SAP.
 - If the farmer already has an outstanding loan, no new Customer ID will be created. In that case, only existing Customer ID will be continued for new loan.

- II. To facilitate systematic recording of loan-related transactions in SAP, a unique Customer code is created in SAP –
- The Customer ID in SAP is created once the loan is approved by Sanction Committee.
 - Credit Manager prepares and sends an official email to Senior Manager - Finance requesting creation of the Customer profile in SAP.
 - The email includes –
 - a. Farmer's Full Name
 - b. Aadhar Number
 - c. PAN Number
 - d. Address
 - e. Email ID
 - f. Assigned Loan Application Number(In Excel File Format – sample format attached in Annexure I)
 - Upon successful creation of the Customer code in SAP, Senior Manager - Finance sends a formal email to Credit Manager confirming the same.
- III. The SAP system entry for the initial loan Payment is done by Senior Manager - Finance based on loan approval given by Sanction Committee.

5.3 Disbursement Process -

- Once all approvals are in place and creation of SAP code is in process, then simultaneously, the complete loan file (including all the above documents) is forwarded to the Treasury Team, specifically to Senior Manager-Finance for disbursement processing.
- Senior Manager- Finance performs a final check of the approved documents and loan details. Upon verification, he initiates the online payment through the company's RBL Bank account.
- The transaction is then forwarded to Chief Financial Controller, the authorized signatory, for final approval and execution of the bank transfer.
- Once the disbursement is done, loan register is updated by Credit Assessment Team and disbursement advice is shared with the farmer.

Here's the final disbursement for loan application is complete.

Stage 6 - Monitoring And Repayment –

6.1 Loan Repayment Process –

- I. If repayment is made directly by the farmer:
 - The amount is transferred to the company's account via RTGS/NEFT.
 - Repayment Adjustment: In all cases, any partial repayment received is first adjusted against the principal amount before considering interest recovery.
 - SAP Entry: The repayment entry is posted in SAP by Credit Manager on the next working day after the payment is received and confirmed.
- II. Repayment through subsidiary company:
 - In cases where any subsidiary company transfers the repayment amount to SFPCL on behalf of individual borrower, the process is as follows –
 - Each transaction in the bank statement clearly reflects the borrower's name and loan application number
 - Upon receiving the payment, Treasury Department verifies the bank statement and passes the corresponding receipt entry in SAP.
 - At the close of each financial year, the Sales Team is responsible for preparing and issuing interest invoices for each farmer who has availed a loan.
 - In cases where the farmer is unable to pay the interest up to 30 April of the next financial year, the following process is followed:
 - The unpaid interest amount is added to the principal at the beginning of the next financial year (FY)
 - Interest for the new financial year is then calculated on the revised principal (original principal amount + outstanding interest carried forward)
 - Company intimates this change to the borrower by sending an official e-mail/hard copy intimation letter.
 - In case of full repayment by the borrower, NOC will be issued by Compliance Team to the borrower and copy of SH4 and blank-dated cheque will be returned to the borrower

- In case of full repayment and closure of the loan, all the loan related documents should be archived for at least 8 years.

The tenure of the loan shall be as specified in the schedule from the date of disbursement of the loan amount. The tenure may be extended by the company at its sole discretion. Tenure will be classified as short term or long term, depending on the term sanctioned. Company defines the tenure as short term in case the loan is for the period of 1 year and in all the other cases the same will be considered as long term.

Further, Interest rate defined in term sheet is floating rate of interest and it changes as per the change in bank rates. Revised interest rates are communicated to the borrowers via SMS/e-mail

6.2 Monitoring process –

- Monitoring of repayments through SAP is done by accounts team on a quarterly basis. Credit Manager will classify the loans by DPD buckets 1 year to 2 years, 2 years to 3 years and more than 3 years. This will be presented to CFO in a quarterly basis MIS. Credit Manager will also send reminders via SMS/phone once the loan is outstanding beyond 1 year at the end of each quarter.
- Credit Manager will generate yearly interest invoices and post accrual entries in SAP on monthly basis.
- Process in case of Default by the borrower – In case if the borrower is unable to repay principal amount for 1 scheduled repayment, the company will provide further tenure of 3 months for the pending repayment. (3 months from the due date of scheduled repayment)
- In case if the complete principal repayment is not done within further 3 months as well, company i.e. Credit Assessment Team will check the reason for non-payment and analyse if the non-payment is intentional or non-intentional. In case it is non-intentional, the company will provide an extension for the said loan for further 1 year. In case of extension, Credit Manager will prepare a note of extension and keep the same documented in loan file.
- If after giving an extension of further 1 year as well, the borrower is unable to repay the principal amount, the said loan will be considered for scrutiny. This loan will be treated as not recoverable and the same will be again given to credit assessment team for further scrutiny. Credit assessment team will check the reason for non-payment and analyse if the non-payment is intentional or non-

intentional. Credit assessment team will prepare a 'Note for non-payment' and the said note will be shared with the Sanction Committee for further action approval. Sanction Committee will conclude the need for sale of shares and execution of undated cheque taken as a security, based on the note for non-payment and discussion with the credit assessment team.

- In case of sale of shares, company needs to follow the below given procedure.

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3. Section 2 – Statutory compliance required by the company

The table below summarises statutory compliance obligations and internal controls. Each requirement is derived from applicable laws and guidance. Frequency refers to how often the control should be tested or evidenced.

Compliance Area – Producer Company lending

Compliance area	Exact requirement (Act/Rule/Para + date)	Remarks
Producer company lending	Companies Act, 2013, s.378ZJ (loan to members) – permits loans/advances to members against security specified in articles, repayable within >3 months ≤7 years	Internal Control: Ensure lending only to members; maintain register of loans; enforce loan cap per share. Owner: CS (register) & Credit Manager (cap monitoring) Evidence Record: Loan register; board minutes approving policy Frequency: Ongoing Risk if missed: Lending to non-members may invalidate producer company status and invite penalties.
Producer company lending	Companies Act, 2013, s.186 – Limits the loan amount to 60% of paid-up capital, free reserves and securities premium account or 100% of its free reserves and securities premium account, whichever is more If limit exceeds – prior approval of board with special resolution	Internal Control: Monitor the limit on quarterly basis and prepare note for the same. Owner: CFO Evidence Record: Tracker for limit calculation. Frequency: Quarterly. Risk if missed: Non-compliance can result in penalties for the company and its officers.
Principal business test	RBI NBFC framework – registration required if financial assets >50 % of total assets and income from financial assets >50 % of gross income	Internal Control: Monitor asset/income ratios quarterly; document calculation; present to board. Owner: CFO Evidence Record: Ratio calculation sheet; board minutes. Frequency: Quarterly.

Compliance area	Exact requirement (Act/Rule/Para + date)	Remarks
		Risk if missed: Failure to register may attract regulatory action and penalties.
KYC/AML	PMLA, 2002 & PML Rules; RBI Master Direction on KYC (2023) – obtain PAN/Aadhaar or other OVD; verify beneficial ownership; risk rate customers; maintain CKYC record; preserve KYC records for 5 years post-relationship	Internal Control: KYC checklist; maker-checker verification; periodic re-KYC (every 2 years); training to field staff. Owner: Credit head. Evidence Record: CKYC/KYC files; KYC audit reports. Frequency: At onboarding and re-KYC every 2 years. Risk if missed: Non-compliance may lead to penalties or classification as high-risk entity.
Interest charges & disclosure	Fair Practice Code (adopted voluntarily); consumer protection guidance – disclose APR, method of penal charges, and any changes in interest rate in local language	Internal Control: Use standard term sheet; provide borrower with executed copy; publish product card at offices. Owner: CS & Credit officer. Evidence Record: Signed term sheet; borrower acknowledgment. Frequency: At sanction & whenever rate changes. Risk if missed: Disputes or allegations of unfair lending practices.
Documentation & stamp duty	Maharashtra Stamp Act, 1958 – loan agreements to be stamped ad valorem; power of attorney and SH-4 forms require nominal stamp duty; instruments must be executed with witnesses.	Internal Control: CS to maintain checklist of instruments; affix electronic stamps; log into register; keep originals securely. Owner: CS. Evidence Record: Stamped agreements; stamp purchase records. Frequency: At execution. Risk if missed: Unstamped documents may be inadmissible in court; penalty for inadequate stamping.

Compliance area	Exact requirement (Act/Rule/Para + date)	Remarks
State money-lending laws	Maharashtra Money-lending (Regulation) Act – generally exempts co-operatives and producer companies lending only to members; confirm annually.	Internal Control: Legal/compliance to review state laws annually; document rationale for exemption. Owner: CS. Evidence Record: Annual legal opinion; board note. Frequency: Annual. Risk if missed: Lending without license in a non-exempt state may be illegal.
Accounting & reporting	Accounting Standards (Ind AS) & Companies Act – accrual of interest; classification of NPAs/DPD; board to receive MIS on loans; provisioning if policy adopted	Internal Control: Accounts to post monthly accruals; prepare DPD reports; board review quarterly. Owner: Accounts head. Evidence Record: SAP reports; board pack. Frequency: Monthly/quarterly. Risk if missed: Misstated financials; board uninformed of portfolio health.
Recovery conduct & grievance redress	RBI fair-practice guidelines – no harassment; maintain visit and call logs; provide grievance mechanism.	Internal Control: Field officers to record interactions; CS to maintain grievance log; board oversight. Owner: CS & Credit head. Evidence Record: Call/visit logs; grievance register. Frequency: Ongoing. Risk if missed: Allegations of coercion; reputational damage.
Data protection & access controls	Information Technology Act & best practice – data minimization; restrict access to KYC files; audit trail; retain data for minimum period then destroy securely.	Internal Control: Role-based access in SAP; physical files in locked cabinets; periodic access review. Owner: IT head & CS. Evidence Record: Access logs; destruction certificate. Frequency: Quarterly. Risk if missed: Data breaches; penalties under privacy law.

Compliance area	Exact requirement (Act/Rule/Para + date)	Remarks
Record retention & audit	Companies Act & internal policy – retain records (minutes, registers, loan files) for at least eight years; internal audit to sample sanction files and verify compliance.	Internal Control: Maintain physical and electronic archives; internal audit plan specifying sample sizes. Owner: CS & Internal auditor. Evidence Record: Audit reports; archive logs. Frequency: Annual. Risk if missed: Unable to demonstrate compliance during inspections; potential penalties.

Explanatory Notes

- Loans to members only:** Producer companies exist to serve their members. Section 378ZJ permits loans and advances to members but prohibits lending to outsiders. Any loan to a director or relative requires prior approval of members in general meeting.
- NBFC registration:** The company should monitor the proportion of financial assets and income from lending. If both exceed 50 %, NBFC registration is required. Until then, lending is treated as an incidental activity and does not trigger RBI registration.
- KYC & AML:** Collecting official documents and verifying beneficial ownership are mandatory. Records must be preserved for at least five years after the relationship ends.
- Stamp duty:** Stamp duty varies by state; the annexure includes indicative rates for Maharashtra. Where operations extend to other states, consult local stamp acts. (Refer Annexure J)
- Money-lending laws:** Some states require a money-lender's license even for member-only lending. This SOP assumes Maharashtra, which currently exempts producer companies lending exclusively to members, but the exemption must be confirmed annually.

4. Section 3 – Statutory compliance to be done by the Borrower/Member

Borrowers must also comply with certain legal and contractual requirements. The table below lists their obligations and the evidence required. Field officers must explain these requirements in simple language during the application stage.

Borrower obligation	What exactly to submit/do	Remarks
KYC/CKYC documents	Provide PAN and Aadhaar (or equivalent OVD); passport-sized photograph; CKYC consent form; if borrowing as a group/SHG, provide details of beneficial owners.	Proof/ Evidence: Copies of PAN/Aadhaar; signed CKYC consent; group constitution documents. When Collected: At application Who Certifies: Field officer (collection); Credit officer (verification) Re-verification on cadence: Every 2 years (re-KYC)
Declarations & consents	Declare purpose of loan and commit to end-use; consent to CKYC and bureau enquiries; declare that borrower is not a wilful defaulter; confirm that the asset financed is not already encumbered.	Proof/ Evidence: Signed declarations within the application form. When Collected: At application Who Certifies: Credit officer. Re-verification on cadence: On change of purpose or major events.
Income/Agri evidence	Provide landholding records (Satbara extract), crop details, invoices for farm inputs/equipment purchased, and recent bank statements to evidence repayment capacity and end use.	Proof/ Evidence: Copies of land records, purchase invoices, bank statements (last 6 months). When Collected: At application & periodically during monitoring. Who Certifies: Field officer. Re-verification on cadence: Annually or upon suspicion of misuse.
Security documents	Execute SH-4 form in blank; sign undated cheque as additional security; sign NACH/ECS mandate; provide guarantor details if required.	Proof/ Evidence: Duly signed SH-4; undated cheque acknowledgement; guarantor's ID & consent. When Collected: At documentation stage. Who Certifies: CS & Accounts. Re-verification on cadence: At sanction only; returned upon closure.

Borrower obligation	What exactly to submit/do	Remarks
Ongoing duties	Inform the company of any change in address, bank account, landholding or shareholding; cooperate with inspections; make repayments on time; use the grievance mechanism for any complaints.	Proof/ Evidence: Written intimation; updated KYC; signed acknowledgement of visits/inspections. When Collected: Throughout loan tenure. Who Certifies: Field officer & CS. Re-verification on cadence: Continuous.

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5. Section 4 – Annexures and Templates

This chapter contains clean, fillable templates. Users should print or download the relevant form from the company's intranet and complete it for each loan. Below is a summary of what each template covers; the actual annexures are provided in the annexures document. Annexures are attached separately for Individual shareholder and Farmer Producer Organization (FPO) as a shareholder, wherever required.

1. **Annexure A – Loan Application Form:** Collects member details, shareholding, purpose, amount requested, declarations and consents. (For Individual and FPO)
2. **Annexure B – Loan Appraisal Note:** Used by credit officers to record repayment capacity, risk rating, recommended amount, tenure and security.
3. **Annexure C – Power of Attorney to Company Secretary:** Authorizes the CS to execute documents, affix stamps and complete SH-4 transfers. (For Individual and FPO)
4. **Annexure D – Declaration:** Declaration about loan repayment that the company can collect the loan from transactions done by farmer with other subsidiary company. (For Individual and FPO)
5. **Annexure E – Term Sheet:** It states all the details and compliances about loan. (For Individual and FPO)
6. **Annexure F – Loan Agreement:** Detailed contract between SFPCL and the member; includes covenants, events of default, and remedies and charges. Witness signatures are mandatory. (For Individual and FPO)
7. **Annexure G – Bank Verification Letter:** Sent to the member's bank to confirm the signature of the borrower.
8. **Annexure H – Checklist:** This is an index document covering list of all the documents included in loan file.
9. **Annexure I – Excel template for creation of customer code:** prepared and shared with accounts team for creation of customer code in SAP
10. **Annexure J – Board/Sanction Committee Register:** Standard format for recording decisions, approvals and abstentions.
11. **Annexure K – Grievance Form & Complaint-handling Log:** For members to lodge complaints; includes fields for issue description, date received, resolution and TAT.
12. **Annexure L – Rejection Note:** To be prepared by Credit Manager in case of any discrepancy in loan application.

6. Section 5 – Compliance Matrix

The Compliance Matrix consolidates process steps, controls and testing procedures as below.

Process Step	Control (Prev/De t)	Statute/ Para	Responsible	Evidence	Test Procedure	Exceptions route
Pre-application	Preventive	Companies Act 2013 s.378ZK – lend only to members	Field officer / Credit head	Loan register; membership register	Verify applicant is a member and loan cap not exceeded	Document deviations in exception register
KYC collection	Preventive	PMLA & RBI KYC Master Direction – KYC/CKYC	Credit officer	KYC checklist; CKYC printout	Check that PAN/Aadhaar, CKYC consent and photographs are on file	Escalate incomplete files to credit head
Appraisal	Preventive	Internal policy – loan cap ₹200 per share	Credit officer	Appraisal note	Recalculate eligible amount; verify income evidence	Obtain board approval for deviations
Approval	Detective	Board powers under Companies Act & articles	CFO/Directors	Sanction-note; meeting minutes	Review maker-checker sign-off; compare with sanction limits	Record dissent and reasons
Documentation	Preventive	Stamp Act – stamping; PoA; SH-4	Company Secretary	Stamped agreements; security register	Check stamping, witness signatures and custody of SH-4	Highlight gaps to CFO before disbursement

Disbursement	Preventive	Internal control	Accounts	SAP journal entries; bank transfer	Verify customer code; confirm bank details; maker-checker on posting	Stop payment if controls fail
Monitoring	Detective	Accounting standards – accrual; DPD classification	Accounts / Credit	DPD report; interest accrual	Check that DPD buckets are correctly assigned and interest accrued	Report ageing exceptions to CFO
Recovery	Detective	Fair practice code; Companies Act	Credit officer / CS	Recovery log; NOC	Review recovery actions; ensure no coercive practices	Board approval required for invoking SH-4 or undated cheque

7. Section 6 – Exception handling

Top 10 errors to avoid:

1. Processing loans for non-members or exceeding the per share cap.
2. Missing PAN/Aadhaar or CKYC consent in KYC files.
3. Incomplete appraisal notes (e.g., no income evidence or risk rating).
4. Missing witness signatures on loan agreements or SH-4 forms.
5. Disbursing funds before stamping is completed.
6. Entering incorrect bank account details in SAP.
7. Failing to send year-end interest invoice.
8. Not re-KYCing members every two years.
9. Using SH-4 or undated cheques without board approval.
10. Delays in issuing NOC upon closure.

Dos and don'ts:

Do's	Don't
Verify membership and shareholding before accepting an application.	Don't accept applications from non-members or relatives without membership.
Use checklists and maker-checker controls at every stage.	Don't rely on memory; always follow the documented process.
Communicate interest rate and charges clearly to borrowers.	Don't hide penal charges or change terms without written notice.
Store documents securely and respect member privacy.	Don't leave KYC documents unattended or share data with unauthorized persons.
Escalate exceptions promptly to the CFO or board.	Don't ignore deviations or approve them informally.

Escalation contacts:

Issue	Contact	Mode
KYC deficiencies	Credit assessment team head	Email/phone
Stamp duty or legal queries	Company Secretary	Email
System issues (SAP)	IT support	Ticketing tool
Policy deviations	CFO	Email with documentation
Grievance redress	Company Secretary	Grievance form (Annexure L)

8. Section 7 – Change/Revision History

This section captures the document identification details and records any changes or revisions made to the SOP over time. It serves as a reference to track the history of modifications along with the necessary authorisations, from the SOP's creation to the present date. This SOP cum policy manual requires Board approval and every change/update in this manual should also be approved by Board in a board meeting. The details about Board approval should be recorded in below table.

Document Identification Information	
Process Name	Member Credit Administration and Repayment
Date Created	07-08-2025
Date last updated	07-08-2025
Created by	
Reviewed by	
Approved by	

Change/Revision History					
Version	Date	Author	Reviewer	Approver	Change Note
1.0	07-08-2025				